In the seventeenth century the country was overrun by Mongol armies, even though Mongol military technology was still based on cavalry armed with bows and arrows. China saw its Siberian dependencies stripped by Russia and control of its coastline lost to British and French naval power. By the late nineteenth century China was helpless, with its internal affairs confused by rebellions and banditry, and its borders under constant erosion by Russian, English, French, German, and Japanese imperialists.

Much of the twentieth century has brought nothing but more woe to China. After the Communists finally seized power, in 1949, they utterly failed to build a modern industrial nation. Mao's Great Leap Forward pushed the country backward. Then the Cultural Revolution cost China at least a decade of stagnation. China was an impoverished wreck, while Japan, Hong Kong, Singapore, and Taiwan prospered. China and Taiwan were about equally poor in 1949. By 1978 Taiwanese incomes approached European levels, while China was still mired in poverty.

After Mao died in 1976, China finally began to discard Communist ideology and work on economic growth—which proved remarkably rapid once the politicians were out of the way. Economic growth for countries is rather like cross-country skiing: the first one in line has to break the trail, which is hard work, but those coming after expend less energy if they just stay in the track. The economy of the most populous country on earth is now growing at a 9 percent annual clip, the rate at which Japan and Taiwan performed 25 years ago. Southern